

CLIMATE JUSTICE WITHOUT BORDERS



EQUAL RIGHT
ECONOMIC JUSTICE WITHOUT BORDERS

Unlocking \$5 Trillion a Year for Climate Finance with Cap and Share

Cap



- A cap would be placed on the maximum amount of fossil fuel that can be extracted, based on an agreed carbon budget, and lowered each year until it reaches zero
- Each country would get a per capita share of the carbon budget - their 'national allowance'
- Countries would issue licenses to fossil fuel companies for every tonne of CO₂e they extract or import, based on their national allowance
- The cap would be legally binding, with penalties for exceeding it. However, higher-emitting countries would be able to purchase extra allowances from lower-emitting countries
- Our model sets a total carbon budget of 350 Gigatonnes of CO₂e from fossil fuel, starting at 34.7GT in Y1 and reducing by 10% each year until reaching zero after 2050. This would keep us on a pathway to 1.6°C, avoiding the worst impacts of climate breakdown

Charge



- Fossil fuel companies would purchase licenses for every tonne of CO₂e they extract or import
- Every country would have a minimum price floor for selling its licenses, with the option to charge more if desired or use an auction system. This price would increase annually, capped at \$4000¹
- We suggest a variable price floor based on each country's Gross National Income (GNI) and climate vulnerability. Using IPCC and IMF recommendations, we model a charge ranging from \$12 to \$240 per license/tonne of CO₂e,² with an average global price of \$144
- Assuming every country uses their available allowances, our model delivers over \$5 trillion in its first year alone (Figure 1)

Fund



- A democratically owned and operated 'Global Commons Fund' (GCF) would be established to receive revenues from the charge
- The GCF would use a portion of these revenues to invest in a global Green New Deal and build sustainable, intergenerational wealth
- Based on similar funds (like Norway's), we anticipate the fund would achieve an annual return of around 6.3%

Share



- At least \$1.3 trillion a year until 2050 would be set aside for climate grants for mitigation, adaptation, loss and damage and 'leave it in the ground' compensation. This would be distributed based on principles of climate justice³
- The remaining money would be used to pay a dividend to every citizen of the world as a Universal Basic Income. This dividend could eliminate global poverty by 2050 and help individuals deal with the costs of the climate crisis, including any energy price rises caused by the charge

¹Our modelling assumes a rate of increase of 16% to fully capture the value of the charge each year, but the exact rate could vary.

²Rogeli et al., *Mitigation Pathways Compatible with 1.5°C in the Context of Sustainable Development*, IPCC, 2018 & Ian Parry, *Five Things to Know about Carbon Pricing*, IMF, 2021.

³The exact distribution would depend on international agreement, but in the interests of climate justice would primarily benefit Global South countries and MAPA communities

Figure 1: Potential scenario for raising and distributing the carbon charge

IMPACT OF CAP AND SHARE	Year 1 2025	Year 10 2035	Year 25 2050
Carbon extraction cap (gigatonnes)	37.4	13	2.7
Carbon charge per tonne ⁴	\$144	\$657	\$4000
Amount raised	\$5.3 trillion	\$8.5 trillion	\$10.7 trillion
Climate grants distributed	\$1.3 trillion	\$1.3 trillion	\$1.3 trillion
Amount retained in Global Commons Fund (GCF)	\$0.5 trillion	\$15.7 trillion	\$100 trillion
Monthly universal payment, per person	\$38	\$51	\$75

Cap and Share redistributes wealth to countries and people in the Global South and would act as **reparation** for centuries of climate debt, colonial exploitation and unequal exchange.

The Global Commons Fund would build **intergenerational wealth** for all people of the world, tackling inequality, building resilience within vulnerable communities and protecting future generations from global crises.

The Dividends paid under Cap and Share are a vital component of a just transition, helping households to deal with rising energy costs, empowering workers to move out of the fossil fuel industry, supporting investment in adaptation, providing cash for conservation and compensating people for loss, damage and displacement.



Cap and Share can be integral to advancing Article 6.8 of the Paris Agreement (on non-market approaches to climate action) and achieving the New Collective Quantified Goal (NCQG) for climate finance.

Cap and Share is not Cap and Trade, and offers an alternative to market-based policies. It makes it easier to end extraction⁵, reduce emissions, end dependency on fossil fuels and keep us on a pathway to 1.6°C with no offsets, credits, trading, geoengineering or other false solutions.

It moves the conversation on climate finance beyond individual countries' contributions, extends the burden of cost to polluters, directs trillions in climate grants to the Global South, and ensures all countries benefit from universal dividends and investments in the Green Economy.



Make **Cap and Share** happen.

This is a global vision, but Cap and Share could also be implemented by a group of forward thinking countries agreeing to come together to levy a charge on their fossil fuel use, and sharing the proceeds via a collective fund.

Equal Right has outlined plans for a 'Climate Club' of first mover countries, and published a paper in partnership with the Government of Malawi on how Malawi and Norway could introduce a bilateral Cap and Share policy. Scan this code to view these publications, including our full Climate Justice Without Borders discussion paper, and show your support by signing the Cap and Share pledge!

Cap and Share is a bold and ambitious proposal, but no less than what we need to achieve climate justice.
Help us make it happen.



Equal Right (equalright.org) is a non-profit co-operative working globally and based in the UK. We research and campaign for the introduction of innovative policy solutions to achieve economic and climate justice.

You can connect with us through:

X: x.com/EqualRightOrg LinkedIn: linkedin.com/company/equal-right/

Facebook: facebook.com/equalrightorg Instagram: instagram.com/equalrightorg/

Or, join the Cap and Share Climate Alliance (CASCA) capandsharealliance.org

⁴This is the average minimum carbon price if Cap and Share was implemented globally. This charge would increase annually.

⁵Placing a charge on extraction is easier to apply because just 100 companies account for nearly three quarters of all fossil fuel extraction and it can be more easily tracked 'at wellhead'

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